Paulie's Cider Australia: Proposed Structure

For Josh, with Dom and Shanu · Draft for discussion · October 2026

1. HOW IT RUNS

- **Josh runs Paulie's Australia**, with Ventura handling operations and Paradiso handling sales
- **Cooper's role is owner only:** funds the launch, signs owner documents, approves a short list of big decisions. No day-to-day involvement.
- **Josh's role** is covered by his existing arrangements (US role + Paradiso). No separate fee from Paulie's AU.

2. STRUCTURE

- **Paulie's Cider Australia Pty Ltd**, owned by Paulie's Cider LLC (US)
- **Registered office:** Ventura, Murwillumbah NSW
- **Director:** Dom as sole director (a resident is required)
- **Ventura (Dom + Shanu):** management, admin, tax and production
- **Paradiso:** sales under a distribution agreement with clear targets
- **Distributors (Modus etc.):** pay Paulie's AU directly
- **Owner approval only for:** borrowing, issuing shares, selling the business, and spending beyond the agreed budget
- **Reporting:** a simple quarterly update (sales, cash, what's next)

Paulie's Cider LLC (US) → owns the brand + Paulie's AU, funds the launch via loan
↓
Paulie's Cider Australia Pty Ltd → holds licences, contracts, bank account · run by Josh
↓ pays
Ventura (management + production) · **Paradiso** (sales)

3. DEC 1 LAUNCH

- Paulie's AU won't have its own NSW liquor licence by Dec 1
- **Bridge:** Ventura brews and sells the first 100 kegs under its existing licence, with a short bridge agreement
- Paulie's AU takes over from the can launch in Feb/March

4. BRAND

- File the AU trademark in **Paulie's Cider LLC's** name, then license it to Paulie's AU
- Keeps the brand consistent across both markets and keeps any future sale clean

5. MONEY

- **US funding is capped:** the first keg run and first can run (about A$27.5k on Josh's estimates; final number TBD), sent as a documented loan
- **After that, Australia funds itself** from sales, then CBA trade finance once there's trading history
- **Anything beyond the cap** (e.g., banner group placement deals) needs its own funding plan and owner sign-off
- **Money back to the US:** loan repayments first, then a brand royalty (about 3–5% of sales), then dividends only if there's extra

6. HOW SHOULD WE COMPENSATE VENTURA?

Dom and Shanu would carry the day-to-day load, so this needs to be worth it for them. Cash is tight on the US side and the goal is to keep US costs as low as possible, so the question is whether equity in Paulie's AU appeals more than a cash fee.

Option	How it works	Trade-off
A. Equity	Ventura (or Dom + Shanu) earns a share of Paulie's AU over time	No cash cost and real upside for them, including in a sale. Needs a shareholders agreement.
B. Profit share	% of Paulie's AU profit, no ownership	No cash cost until it's profitable. No upside in a sale.
C. Fee from AU sales	Management fee paid only out of Paulie's AU revenue, not US funding	Cash for them, but it slows Australia becoming self-funding.
D. Mix	Equity + a small fee from AU sales once trading	Balances both. Fee only starts when AU can afford it.

Ground rules for any option:

- Compensation comes from Paulie's AU (equity, profit or revenue), not from US funding
- Equity is in **Paulie's AU only** (not the US business or the brand), earned over about 3 years
- Production (Shanu's brewing, cans, kegs) is paid at cost as part of each production run

Questions for you, Josh

1. Would Dom and Shanu take equity or a profit share instead of a cash fee?
2. If equity, what split feels fair, and should it sit with Ventura or with Dom and Shanu personally?
3. What's the minimum they'd need, and could it wait until Paulie's AU is trading?

7. NEXT STEPS

Who	Action
Josh	Lead the setup; sound out Dom and Shanu on compensation; keg production with Shanu; tap decals with Dom
Dom	Book the cross-border accountant; confirm Ventura's licence covers the 100 kegs; register Paulie's AU; apply for its NSW producer/wholesaler licence; file the trademark
Josh / Dom	Ventura and Paradiso agreements; AU can labels; deposit scheme registration (NSW + QLD) before cans launch
Cooper	US CPA sign-off; sign owner documents; send the launch loan

8. QUESTIONS FOR THE ACCOUNTANT

1. Is our cider taxed under WET or excise?
2. What royalty rate can we defend?
3. How are big upfront placement deals with banner groups taxed?
4. Best way to give Ventura equity in Paulie's AU (tax for them and for us)?

Draft for discussion only. Not legal or tax advice; to be confirmed with the cross-border accountant and US CPA.